HOW TO TRADE ?

When we see an engulfing pattern, we will take long or short positions according to the type of pattern formed. We will define a fixed entry point and a stop loss to enter into the trade. This is a subjective decision and one develops this with practice. An ideal point to enter can be the open price of the very next day following the engulfing candle and the stop loss could be the high of engulfing bear candle or low of engulfing bull candle depending on the pattern and the trade.

One can also combine this with other candlesticks patterns, oscillators, and indicators to come up with custom strategies. However, we will never enter a trade where the conditions for exit and stop losses are not pre-determined.